Nosebleed Sports LLC – Binder Guide (Nick only)

v1, 2026-11-12. This is the plain-English manual for the 36-document founder closing binder. It explains every word, every number and every rule, and it shows the math. Nothing here goes to the other founders; they get the Founder Summary.

Part 1. What the binder does in one paragraph

On one day (the "Actual Closing Date") the five of you sign the Operating Agreement and your purchase agreements, each pays a few thousand dollars into a new company bank account, and the company issues 7,900,000 voting Class A units to the five founders. The same day it issues 150,000 non-voting Class B units to Brock Smith under his existing talent agreement, without him signing anything, and keeps 1,950,000 units unissued for future strategic partners. JGN signs one agreement that hands the app, website, Discord and code to the company, licenses the Nosebleed Sports brand to it forever, promises to promote it through the social accounts, and records all of JGN's spending as a no-interest loan that only gets repaid when the company can afford it or when it is sold. Everything else in the binder records that this happened, so a buyer can see it in one place.

Part 2. Glossary

- **Class A Units**: the founders' voting units. 7,900,000 issued.
- **Class B Units**: Brock's non-voting units, a "profits interest." 150,000 issued.
- **Reserved Units**: 1,950,000 authorized but unissued; for strategic partners and Brock's milestone units.
- **Fully Diluted Percentage**: your share of all 10,000,000 units, as if the reserve were already issued. Nick 20%.
- **Percentage Interest**: your share of the 8,050,000 units that actually exist today. Used for distributions. Nick 24.845%.
- **Voting Interest**: your share of the 7,900,000 Class A units. Used for every vote. Nick 25.316%.
- **Supermajority Approval**: yes votes from holders of at least 75% of Class A units. Silence is never a yes.
- **Disinterested Ownership**: the Class A units held by people who are not personally conflicted in a vote.
- **Actual Closing Date / Transfer Date / Valuation Date**: all the same day. The day units are issued and vesting starts.
- **JGN Funding Advance**: money JGN has spent or will spend for the company. A no-interest loan from JGN to the company, never from any founder.
- **Self-Sufficiency Date**: the first day after three straight months where the company's own cash receipts beat its expenses and it holds three months of expenses in the bank. JGN's funding duty ends then.
- **Brand License**: JGN's permission for the company to use "Nosebleed Sports" for the app, website, Discord and paid picks. Exclusive, perpetual, royalty-free, goes with the company if it is sold.
- **Promotion covenant**: JGN's promise to push the platform through the social accounts.
- **Platform**: the app (Nosebleed Live), the website, the Discord and the Premium Offering together.
- **Premium Offering**: the paid picks, write-ups, live sessions and premium Discord access.

- **Threshold Amount**: $7,900. Brock's Class B units share in distributions only after the Class A holders have received $7,900 after closing. It is what makes his units a "profits interest" that costs him nothing and creates no tax bill on grant.
- **Original Cost**: $0.001 per Class A unit. The price the company pays back for unvested units if someone leaves (or fair value if lower). Zero for Class B.
- **Continuous Service**: still working for the company. Vesting depends on it.
- **Good Leaver / Bad Leaver**: left for a good reason (death, disability, fired without cause after a sale) or for a bad one (cause, breach of IP or confidentiality).
- **Talent Agreement**: Brock's Talent, Handicapping, and Content Services Agreement dated September 24, 2026.
- **JGN Agreement**: document 19, the JGN Media LLC Platform Contribution, Brand License, Funding and Account Transition Agreement.
- **RUPIA**: Restricted Unit Purchase and Issuance Agreement, one per founder (documents 25–29).

Part 3. The math

Units. 2,000,000 + 2,000,000 + 1,300,000 + 1,300,000 + 1,300,000 = 7,900,000 Class A. Plus 150,000 Class B = 8,050,000 outstanding. Plus 1,950,000 reserved = 10,000,000 authorized.

Price. 7,900,000 × $0.001 = $7,900. Nick 2,000,000 × $0.001 = $2,000; Christian $2,000; Gabriel, Stephen and Michael 1,300,000 × $0.001 = $1,300 each. $2,000 + $2,000 + $1,300 + $1,300 + $1,300 = $7,900. Total company equity value in the FMV memo: $7,900. Brock pays nothing.

Fully diluted (of 10,000,000). 2,000,000 = 20%; 1,300,000 = 13%; 150,000 = 1.5%; 1,950,000 = 19.5%. 20 + 20 + 13 + 13 + 13 + 1.5 + 19.5 = 100.

Percentage Interest (of 8,050,000 outstanding). 2,000,000 ÷ 8,050,000 = 24.845%; 1,300,000 ÷ 8,050,000 = 16.149%; 150,000 ÷ 8,050,000 = 1.863%. 24.845 × 2 + 16.149 × 3 + 1.863 = 49.690 + 48.447 + 1.863 = 100.000.

Voting Interest (of 7,900,000 Class A). 2,000,000 ÷ 7,900,000 = 25.316%; 1,300,000 ÷ 7,900,000 = 16.456%. 25.316 × 2 + 16.456 × 3 = 50.632 + 49.368 = 100.000.

Vesting. Half vests on closing day: Nick and Christian 1,000,000 each, the others 650,000 each (3,950,000 in total). The other half vests monthly over 48 months. 1,000,000 ÷ 48 = 20,833.33, so 20,833 a month for 47 months (979,151) and 20,849 in month 48. 650,000 ÷ 48 = 13,541.67, so 13,541 a month for 47 months (636,427) and 13,573 in month 48.

Votes. 75% of 7,900,000 = 5,925,000 units must say yes.

Who says yes	Units	Share	Result
Nick + Christian + any two of Gabriel, Stephen, Michael	6,600,000	83.5%	passes
Everyone but one 13% holder	6,600,000	83.5%	passes
Nick + Christian + one 13% holder	5,300,000	67.1%	fails

Who says yes	Units	Share	Result
Nick + Gabriel + Stephen + Michael (Christian out)	5,900,000	74.7%	fails by 25,000 units
Christian + Gabriel + Stephen + Michael (Nick out)	5,900,000	74.7%	fails

So every decision needs both you and Christian, plus two of the other three. Any two 13% holders together can block anything. If you want "Nick plus the three 13s" to be enough, the threshold has to be 74% or lower; at 70% (5,530,000) that passes and "Nick + Christian + one 13" still fails; at 66⅔% (5,266,667) that one passes too.

JGN-conflict votes. When the vote is about changing JGN's own deal, the four JGN owners are conflicted and only Christian is not. The rule copied from TLNT says: if fewer than three members are disinterested, use the ordinary 75% vote. So in practice the JGN owners vote on their own deal. The alternative is Christian's written consent for any JGN-deal change (Decisions file, item 9).

Brock's milestones after this grant. His agreement issues milestone units "so that" his cumulative share equals the table: 1.0% at $25,000 of qualifying revenue, 2.5% at $60,000, 3.75% at $110,000, 5% at $175,000. He already holds 1.5%, so: $25,000 adds nothing; $60,000 adds 1.0% (100,000 units); $110,000 adds 1.25% (125,000); $175,000 adds 1.25% (125,000). Maximum 500,000 units = 5%, all from the reserve.

Part 4. Every rule, in plain English

Ownership and money (Article 3). Founders buy Class A units for cash at $0.001. No notes, no credits, no paying with work. If closing has not happened within 120 days of the first signature, the money is refunded and everything resets. Brock's Class B units are issued for free as a profits interest and he is admitted as a member without signing; Delaware's LLC Act says a member is bound by the operating agreement whether or not they sign it, and his own talent agreement already requires him to accept them. JGN's spending is recorded as advances: no interest, repaid only after self-sufficiency, at a sale, or on dissolution, never by founders. The reserve can only be issued by a 75% vote (a Major Decision) and founders have no preemptive rights over it. Any founder who owes the company money has seven days to pay after notice, with a dispute route to an accountant.

Management (Article 4). Member-managed, no board. Officer lanes: Nick runs the company; Christian runs the platform; Gabriel runs marketing and the funnel from the media network; Stephen runs information systems and the website operations; Michael runs data engineering and the picks and odds pipelines. Spending: you and Christian up to $25,000 each per vendor per year; other officers $5,000 in their lane; $25,000–$50,000 needs one more founder; $50,000–$100,000 two more; over $100,000 a vote. JGN also has to say yes to anything it is funding. Weekly sync and quarterly review are mandatory; the official channels are the Discord server and the founders' text group; a founder must answer company business within two business days (24 hours if marked urgent). Three failures in a year, uncured, can be treated as cause.

Votes (Article 5). 75% of Class A, every decision, counted only on actual yes votes. Class B never votes. A governance review six months after closing; an optional outside-counsel review when monthly recurring revenue hits $25,000 or the company becomes self-sufficient.

Vesting and leaving (Article 6). 50% vested at closing, 50% monthly over 48 months. If a founder leaves, unvested units are bought back automatically at the lower of $0.001 and fair value. Vested units are never forfeited; the company can buy them at fair value (no discounts) only if the founder quits voluntarily, is fired for cause, commits serious misconduct, or competes. Vesting pauses while a founder is in uncured default (unpaid amount, missed meetings, not doing the job) and the schedule extends month for month. If a buyer fires a founder without cause within 12 months of a sale, half the unvested units vest. Brock's units vest and are forfeited only as his talent agreement says (vest at $25,000 of qualifying revenue or 12 months of good standing; full vesting on a sale).

Transfers (Article 7). No transfers without a vote, except to a family trust or a wholly owned company. Right of first refusal to the company then the other founders; tag-along; drag-along on an approved sale, with unvested-unit money held back until it vests.

IP and accounts (Article 8). Everything built for the platform belongs to the company (the PIIA makes each founder assign it, including work done before closing). The brand and the socials belong to JGN. Company-critical accounts (repos, domains, hosting, databases, the Discord server, Whop or whatever collects subscriptions, data APIs, the bank) must be in the company's name or under its control, and credentials and API keys are never written down in the binder and never rotated without Christian's say-so.

Tax (Article 10). Partnership for tax. Capital accounts start at $7,900 total (Brock zero). Distributions pro rata by Percentage Interest, after reserves (including money to repay JGN when due), by 75% vote; Brock shares only above the $7,900 threshold. You are the Tax Representative.

Competition (Article 11). For 12 months after leaving, a founder cannot build or work on a *paid* picks product or a sports app or community whose main money is paid picks. Everything else is allowed: JGN's media business and socials (free picks talk included), selling ads and sponsorships, TLNT Connect, any software or agency business, being a creator. No poaching staff or talent (Brock included) and no interfering with subscribers, sponsors or data providers for 12 months. Company opportunities must be offered to the company first.

Death, disability, dissolution, liability (Articles 12–15). Estates keep vested units and join as members; unvested units are bought back unless the members vote otherwise within 30 days. Dissolution needs a 75% vote. No founder is personally liable for company debts or for JGN's advances. A JGN owner acting for JGN on the existing deal is not breaching a duty, as long as they disclose and do not vote on a conflicted change.

Amendments (Article 16). 75% vote plus consent of anyone hurt differently from the others (including Brock if his economics are cut). New members sign a joinder, except Brock.

Part 5. The JGN Agreement (document 19), section by section

1. Definitions: Brand, Social Accounts (all of JGN's accounts including the ones Brock manages), Platform Assets (everything built for the platform), the Field (apps, sites, communities, paid picks, subscriptions), the Reserved Field (socials, free content, ads, sponsorships, merch, JGN's other media), Self-Sufficiency Date.
2. JGN assigns the Platform Assets to the company now. JGN having paid for the work does not matter.

3. JGN keeps the brand, the socials, historical content, the social-account sponsorship deals and its other media business.
4. Brand License: exclusive in the Field (even against JGN), worldwide, perpetual, royalty-free, sublicensable to vendors and app stores, assignable to a buyer without JGN's consent. The company keeps brand quality and sends samples twice a year at most. Goodwill goes to JGN. JGN must give a buyer a written confirmation within 10 business days. If JGN ever sells the brand, the company gets a 45-day first offer and the buyer takes it subject to the license. JGN can end the license only if the company stops using the brand for 24 straight months or a court finds an uncured quality breach; never for insolvency, never for other breaches, never because JGN's or the company's ownership changes. 12-month wind-down if it ever ends.
5. Promotion covenant: link in bios, regular posts, stories and lives on a quarterly cadence you and JGN agree; no promoting a competing paid-picks product; aggregate analytics shared; survives a sale for 24 months.
6. Brock's agreement: JGN handles the brand and managed-account side, the company handles the platform and premium side; what JGN pays him on the company's behalf is an advance; both sides honor his equity.
7. Funding: JGN keeps a ledger of every advance and hands it over at closing and quarterly. JGN funds the approved quarterly budget until self-sufficiency, can end that on 90 days' notice (its members have to approve), and the duty ends automatically at self-sufficiency or a sale. Repayment: no interest; only after self-sufficiency out of surplus cash, at a sale from proceeds before founders get paid, or on dissolution after creditors. No units, no conversion, no lien, no control. JGN can forgive any amount. Subordinate to any real lender.
8. Revenue: platform money is the company's; social-account money is JGN's; mixed deals split in good faith; any platform money JGN collected is held for the company and paid over or netted against the advances.
9. Accounts: JGN transfers the accounts it holds for the platform (domains, Discord, repos, subscription accounts) and never locks the company out; keys change only as Christian approves.

10–13. No equity effect; JGN warrants it owns the platform assets and the brand free of other licenses; competition covenant mirroring the OA; Delaware law; the company acts through Christian; the agreement can only be amended with a 75% company vote and JGN's members. Christian signs for the company, you sign for JGN.

Part 6. Every document

No.	Document	What it is for	Who signs
00	Master Record Book Index	Table of contents and closing record	Nick
01	Operating Agreement	The rulebook	All five, company by Nick
02	Organizational Written Consent	First vote: adopts the OA, approves FMV, issuances, officers, banking, the JGN documents	All five
03	FMV Memorandum	Why the company is worth $7,900 on closing day	All five

No.	Document	What it is for	Who signs
04	Purchase Price Payment Instructions	How each founder pays; per-founder payment record	Nick
05	Closing Statement	Reconciles units, prices, payments	Nick
06	Payment and Capital Contribution Ledger	Records each payment and the capital account credits	Nick
07	Officer Certificate	Nick certifies the closing happened; Christian confirms the payments	Nick, Christian
08	Officer Appointment Record	Titles, lanes, spending limits	Nick
09	Banking Resolution	Open the bank account; Nick and Christian as signers	Nick
10	Official Unit Ledger	Entry per holder, Class B entry, reserve	Nick
11	Capitalization Table	Three percentage views	Nick
12	Vesting Ledger	Vesting per founder with the monthly math	Nick
13	Contribution and Separation Schedule	Per person: what was paid, what was contributed, what is separate	Nick
14	Historical Expense and JGN Funding Advance Schedule	Expense categories, all funded by JGN; the ledger holds the amounts	Nick
15	Company Asset Schedule	What the company owns and what it licenses	Nick
16	IP Chain of Title Register	Which document gives the company each kind of IP	Nick
17	Company Account Schedule	Account categories and the control standard	Nick
18	Founder PIIA	Each founder assigns platform IP and agrees to confidentiality and security rules	All five, company by Nick
19	JGN Agreement	Platform assignment, brand license, promotion, funding, accounts	Christian for the company, Nick for JGN
20	JGN Member Consent	JGN's four owners approve document 19	Nick, Gabriel, Stephen, Michael as JGN members
21	Closing Checklist and Signature Index	The order of signing; who signs what	Nick
22	Governance Summary	One-page overview	Nick
23	Capitalization Reconciliation	Every number ties	Nick
24	Record Book Certification	Nick certifies what the binder contains	Nick
25–29	RUPIAs	Each founder's purchase (Nick, Christian, Gabriel, Stephen, Michael)	Founder plus Nick; Christian signs Nick's

No.	Document	What it is for	Who signs
30	Brock Smith Class B Unit Issuance Record	The company's record of Brock's grant	Nick only; Brock may acknowledge, optionally
31–35	Receipts	Issued when each payment lands	Nick; Christian signs Nick's

Part 7. Closing steps (document 21 has the full 26)

1. Open the bank account (Nick and Christian). Record the bank and last four digits in document 17.
2. JGN hands over the funding ledger; everyone reviews documents 14 and 03.
3. Everyone signs 03, 02, 01, their RUPIA, 18. The four JGN owners sign 20. Christian and Nick sign 19.
4. Each founder pays into the account; Christian checks each payment against the bank statement (Nick checks Christian's); the company records the dates and bank references in 04, 06, the RUPIAs and the receipts.
5. Nick writes the Actual Closing Date on the OA signature page, signs the company blocks, signs 30 and sends Brock a copy of the OA and 30 within 10 days, updates 06, 10, 11, 12, the capital accounts, and signs 07 last.

Deadline: the OA must be adopted by January 22, 2027 and Brock's units issued within 30 days after, under his agreement.

Part 8. Likely questions

- "Why does Brock not sign?" Delaware lets the operating agreement admit a member without a signature, his talent agreement already obliges him to take the units, and a non-voting profits interest gives him nothing to negotiate. He can sign the Schedule E joinder any time if he wants a signature on file.
- "Why 150,000 and not 50,000?" You chose 1.5%. The document says it satisfies and exceeds the 50,000 owed. The milestones still run from his agreement.
- "Why does Christian sign the JGN deal?" He is the only Class A member with no JGN interest. A buyer will like that the company's side of the JGN deal was not signed by a JGN owner.
- "Is JGN's money a debt?" Yes, a no-interest, unsecured, subordinated one, repayable only out of surplus cash after self-sufficiency or out of sale proceeds. A buyer pays it off at closing from the price. JGN can forgive it any time.
- "What does a buyer get?" The platform and its code, the subscribers, the Discord, a perpetual exclusive license to the brand that transfers automatically, 24 months of promotion through the socials, the chain of title, and a clean cap table with one small non-voting holder and a known reserve.
- "What does a buyer not get?" The brand itself and the 1.7M followers. That is the biggest value question and it is yours (Decisions file, item 1).
- "What about taxes on the units?" Founders pay fair value so there is no income on purchase; ask the CPA about 83(b) within 30 days of closing. Brock's profits interest is not income on grant. The company files a 1065 for 2026 by March 15, 2027.

- "Can we change the 75%?" Yes, before signing; it is one number in Section 5.2 and Schedule B, and the math table above shows the effect.